

Welspun Specialty Solutions Ltd

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · NSE: WELSPLSOL · Report prepared 21 Aug 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's earnings-call transcripts and filings.

1 Snapshot

Welspun Specialty Solutions makes stainless steel and nickel-alloy **bars** and **seamless pipes and tubes** at a single 126-acre integrated plant at Jhagadia, Bharuch, Gujarat — a *seamless tube* is a metal pipe formed by piercing and extruding a solid billet, with no welded joint along its length, used where pressure, heat or corrosion would attack a weld. It is the only plant in India that runs the whole chain in-house, from melting scrap in an electric furnace to the finished tube. The company was RMG Alloy Steel, a chronically loss-making, debt-laden steel maker, until the Welspun group took control; the promoter group holds 55.17%.

Measure	Figure	What it means in plain words
Market value / share price	₹3,218 Cr / ₹48.5	The market is paying about 141 times FY26 profit of ₹22.8 Cr. That is a price for a turnaround that has largely not yet arrived in the profit line.
FY26 revenue	₹886 Cr (+22%)	Sales grew for the fourth straight year. Revenue has more than doubled since FY23 (₹418 Cr).
FY26 operating profit & margin	₹47 Cr / 5.3%	<i>EBITDA = earnings before interest, tax, depreciation and amortisation — the cash the plant throws off before financing and accounting charges.</i> Out of every ₹100 of sales only ₹5.30 survives. That is thin for a business selling into nuclear and aerospace.
FY26 net profit	₹22.8 Cr	Back in the black — but FY25 was a ₹4 Cr loss. Profit is not yet a straight line.
Tax actually borne, FY26	Nil (a ₹0.5 Cr credit)	The company paid no income tax. Old losses shelter the profit entirely, so pre-tax profit becomes post-tax profit. See section 3.
Net debt / (net cash)	(₹120 Cr) net cash	Audited FY26 figure. It was ₹271 Cr of net debt in FY24. This is the single cleanest thing management has done.
FY26 volume vs nameplate capacity	Bars 27,245 t of 150,000 t; pipes 5,236 t of 18,000 t	The plant ran at roughly 18% and 29% of stated capacity . <i>Operating leverage = with fixed costs already paid for, each extra tonne adds far more to profit than to cost — and each lost tonne subtracts far more.</i> This works violently in both directions.
Order book	~₹200 Cr (Mar 2026)	Down from ₹287 Cr in Jun 2025 — forward work shrank about 30% in nine months.
ROCE / ROE	9.9% / 4.8%	<i>ROCE = return on capital employed, the operating profit earned on all the money in the business; ROE = return on equity, the profit earned on shareholders' money.</i> Both are below what a lender charges. The business is not yet earning its keep.

2 Concall coverage

Quarter	Call date	Transcript obtained	Note
Q3 FY24	29 Jan 2024	Yes	Turnaround being declared
Q4 FY24	29 Apr 2024	Yes	₹33.9 Cr deferred tax asset recognised
Q1 FY25	24 Jul 2024	Yes	₹183 Cr long-term debt still outstanding
Q2 FY25 – Q4 FY25	Oct 2024 – May 2025	No — 3 calls missing	The gap covers exactly the year the company slipped back into loss.
Q1 FY26	23 Jul 2025	Yes	"the company has become debt-free"
Q2 FY26	28 Oct 2025	Yes	Capacity and bright-bar capex detail
Q3 FY26	27 Jan 2026	Yes	Utilisation and EU quota detail
Q4 FY26	4 May 2026	Yes	FY27 guidance; tax-shield admission
Q1 FY27	Jul 2026	No transcript	Substitute obtained: the Q1 FY27 Investor Presentation filed with BSE on 21 Jul 2026.

Honest note on coverage. Screener.in lists 15 earnings calls; **7 transcripts were obtained** and read, covering Q3 FY24 and Q1 FY26 through Q4 FY26. For **Q1 FY27, Screener lists a July 2026 call but carries no transcript link, and no transcript exists on the company's own website** — welspunspecialty.com has no transcripts section at all, and rmgalloysteel.com no longer resolves. **I did not read the Q1 FY27 call and make no claim about what was said on it.** Every Q1 FY27 figure below comes from the official **Q1 FY27 Investor Presentation** (BSE filing, 21 July 2026), cross-checked against

2b · Latest quarter — from the Q1 FY27 Investor Presentation (21 Jul 2026), not from a call

- **Revenue fell.** Total income was ₹197.5 Cr, down 6% year-on-year from ₹211.0 Cr, and down 11% on the March quarter. Anyone told that Q1 FY27 revenue "grew strongly" has been misinformed — the top line went backwards.
- **Profit did grow strongly, from a near-zero base.** Profit after tax was ₹5.2 Cr against a ₹0.8 Cr loss a year earlier. Operating EBITDA of ₹10.5 Cr was up 145% on a very weak ₹4.3 Cr. Real improvement, but on a quarter that had been dismal.
- **The two product lines went opposite ways.** Pipe and tube volume rose 68% to 1,425 tonnes; bar volume **fell 34%** to 4,904 tonnes. Management attributes the bar collapse to export markets: "Export volumes got impacted adversely during the quarter."
- **Reported EBITDA is padded.** Operating EBITDA was ₹10.5 Cr; "reported EBITDA" of ₹14.3 Cr adds ₹3.8 Cr of other income — mostly treasury return on the rights-issue cash now sitting in bonds and mutual funds. Presented side by side, the ₹14.3 Cr flatters the quarter.
- **Profit after tax exceeded profit before tax** (₹5.2 Cr vs ₹4.7 Cr). The tax line was again a credit, not a charge.
- **No order book figure was disclosed** in the presentation — which matters, because in May 2026 management had promised the order book would recover within two quarters.
- **Progress items:** 13 new customers; NTPC approval for Grade T91 supercritical boiler tubes; IBR "well-known" accreditation; BMC approval for seamless tubes; first trial order for city-gas-distribution instrumentation tubing; new bright-bar line "installed and currently under ramping up".

2c · Business mix and capacity — what is disclosed and what is not

Capacity (FY26 Annual Report): steel 150,000 tonnes per annum; pipes up to 18,000 tonnes per annum. On calls management describes a "Stage 1" ceiling of 100,000 tonnes of liquid metal, of which about 85,000 tonnes is saleable, and says pipes are about 15,000 tonnes if everything is cold-finished.

FY26 volumes (audited): bars 27,245 t (+44%); pipes 5,236 t (+9%). Four-year bar trend: 6,869 → 15,903 → 18,860 → 27,245 t. Pipes have barely moved: 4,059 → 4,785 → 4,807 → 5,236 t.

Utilisation — a discrepancy worth naming. On the Q4 FY26 call the CEO said "Last year, we utilized on steel about 50% of the capacity ... and similarly, on pipes and tubes, you can say we are utilizing about 60%, 65%." The annual report's own numbers do not support that: 27,245 t against 150,000 t is 18%, and 5,236 t against 18,000 t is 29%. Even on the most generous denominator management offers — 85,000 t saleable steel — bars plus captive billet reach roughly 40%, not 50%; and pipes reach about 35% against 15,000 t, not 60–65%. **The percentages quoted on calls are roughly double what the filings imply.**

Domestic vs export (audited FY26 segment note): India ₹740.5 Cr, outside India ₹145.7 Cr — exports are **16% of revenue, down from 36% in FY25**. In money terms exports **fell 44%** (₹261.6 Cr → ₹145.7 Cr) while domestic sales rose 60%. Pipes are 85–90% domestic; steel exports are about 20% of steel sales.

Expansion: one project only — a new bright-bar (precision-finished bar) line inside a ~₹75 Cr package of debottlenecking and upgrades. It adds **no steelmaking and no pipe capacity**. FY27 capex guided at "about ₹10 crores" — effectively nothing. Note the capacity claim itself moved: the CEO said bright bar goes from 30,000 to 70,000–75,000 tpa (Oct 2025); the annual report says "approximately 24,000 MTPA to 100,000 MTPA".

Not disclosed: revenue split between bars and pipes ("the breakup is not there rightly available"), realisation or EBITDA per tonne by product, segment-wise order book value, and any Q1 FY27 order book at all.

3 Earning-trigger thesis

The trigger, stated plainly

This is an **operating-leverage story on a debt-free balance sheet**. A fully integrated specialty steel plant that cost far more than the company is currently using is running at under a third of its nameplate capacity, and the ₹350 Cr rights issue of March 2025 has removed the interest bill that used to swallow the profit. If volumes fill the plant, profit should rise several times faster than sales. That mechanism is real and is visibly working: FY26 operating profit rose 52% on 22% higher revenue.

The problem is everything around it. Margin is still only 5.3%; realisations per tonne *fell* about 5% in FY26; the order book has shrunk 30%; Q1 FY27 revenue went backwards; and the reported profit pays no tax. The lever exists. It is being pulled slowly, in a bad market, and the share price has already been paid as though it were fully pulled.

Trigger	What management said	Evidence so far	Horizon	Strength
Debt elimination	Q1 FY26: "post this payment, the company has become debt-free." ₹51 Cr of preference shares prepaid for ₹27 Cr.	Delivered. Net debt ₹271 Cr (FY24) → net cash ₹120 Cr (FY26). Borrowings ₹260 Cr → ₹35 Cr. Interest ₹44 Cr	Done	Strong

		(FY25) → ₹26 Cr (FY26). Credit rating up from CARE A- to CARE AA-.		
Operating leverage from filling the plant	"We have a good headroom ... we have the capability to double up our production." Target 80–85% utilisation "in 2 years' time ... that still is what is our agenda."	Partly working: FY26 EBITDA +52% on revenue +22%. But bar volume then fell 34% in Q1 FY27 and pipes have added only 1,200 tonnes in four years. Actual utilisation is 18–29% of nameplate, not the 50–65% quoted.	2–3 years	Medium
Import substitution: nuclear, defence, power, oil & gas	NPCIL development order for Nickel Alloy 800H steam generator tubes — "the heart of nuclear power plant ... for decades ... highly protected." Government targeting "more than 20 gigawatts" of nuclear in ten years.	Accreditations are genuine and hard to win: BHEL 4,050 t Super-304H order (largest in company history, ~₹117 Cr), NTPC T91 approval, AS9100D aerospace, NORSOK M650, IBR. But NPCIL is still only a <i>development</i> order with delivery targeted "within next 2 to 3 quarters", and no revenue is attached to any of it.	2–4 years	Medium
Domestic pivot replacing lost exports	"We have sharpened our focus on domestic market to drive performance." Pipes now 85–90% domestic.	Working, and impressively so. Domestic revenue +60% to ₹740 Cr absorbed a 44% collapse in exports. But it also means growth now depends entirely on Indian capital spending, with no export cushion.	Now	Strong
Mix shift to higher-value grades	"We stick to our cardinal principle of only chasing value" — not volume. Bright-bar line to broaden the value-added range.	Not yet visible in the numbers. Realisations "have definitely gone down ... by about 5% on a per ton basis"; FY26 margin 5.3% against 8% in FY24. The bright-bar line, due Q3 FY26, was still "ramping up" in Q1 FY27.	1–2 years	Weak
FY27 growth guidance	Q4 FY26, quoted exactly: "we are definitely looking at growing by 20% to 30% ... we are very confident we'll be able to achieve 20% to 30%, could be even more depending on the market." No margin guidance given: "would not be inappropriate for me to really talk about it."	Already behind. Q1 FY27 revenue fell 6% year-on-year. To hit even 20% for the year the remaining nine months must grow about 29%.	FY27	Weak
Tax-free profit (a support, not a trigger)	Q4 FY26, quoted exactly: "since we have the accumulated losses in the company of the past ... the deferred tax asset gets created and so your PBT basically becomes the PAT ... we have close to, you can say, INR500 crores, which culminates to about more than INR120 crores, INR130 crores of tax shield."	Confirmed by the audited accounts, and material. FY26 tax at the normal 25.17% rate would have been ₹5.6 Cr; the whole amount was set off against brought-forward losses and the net tax line was a credit of ₹0.5 Cr . ₹215 Cr of unabsorbed tax depreciation remains, with no expiry. The auditors made this deferred tax asset a Key Audit Matter . In FY24, ₹33.9 Cr of the ₹62 Cr reported profit — 55% — was this paper entry, not trading.	2–4 more years	Flatters earnings

4 Management consistency scorecard

Period	Promised	What happened	Verdict
Q4 FY24 Apr 2024	"Welspun Specialty could achieve a complete turnaround during FY24. Witnessing first year of consistent profitability."	FY25 swung straight back to a ₹4 Cr loss , with losses in Q2 and Q3 FY25. And ₹33.9 Cr of the FY24 profit that justified the claim was a deferred tax entry.	Broken
Q1 FY25 Jul 2024	"Our long-term debt which is to the tune of INR183 crores ... we definitely expect from the internal accruals, profit and cash flow we will be able to pare this."	The debt went, but not from internal accruals — from a ₹349.9 Cr rights issue in Mar 2025, ₹284 Cr of it earmarked for repayment. Shareholders paid, not the business.	Right result, wrong route
Q1 FY26 Jul 2025	"Post this payment, the company has become debt-free."	Substantially true. Net cash ₹120 Cr by Mar 2026. Caveat: the P&L still carried ~₹15 Cr of finance cost across Q2–Q4 FY26 on gross borrowings of only ₹35 Cr — trade and vendor-bill finance, not free money.	Delivered

Q1 FY26 Jul 2025	"We expect share of green power in our total electricity consumption during financial year '26 to exceed 75%."	FY26 came in at 58% . The Q4 run rate exceeded 70%, but the year-level promise was missed by a wide margin.	Missed
Q2 FY26 Oct 2025	Bright-bar project "progressing on schedule and in full swing with commissioning targeted for quarter 3 financial year '26."	Q3: "progressing at full pace". Q4: "installed and is currently under stabilization". Q1 FY27: "under ramping up". At least two quarters late and still not contributing.	Late
FY26 target set in FY25	"we had given a guidance that we will grow by 20% to 30%."	Met. FY26 total income +21% to ₹904 Cr; total sales volume +37%. Delivered through a genuinely hostile export market.	Delivered
Q4 FY26 May 2026	"we are very, very confident that in next 2 quarters, we'll be back to our original state where we had like almost 3 months of order book in steel, and 4 to 5 months in pipes and tubes."	The Q1 FY27 presentation discloses no order book at all — a first in the period reviewed. Unverifiable, and the silence is not encouraging.	Unverifiable
Q3–Q4 FY26	Utilisation to reach "80%, 85% in 2 years' time ... that still is what is our agenda", from a stated base of 50% (steel) and 60–65% (pipes).	The FY26 annual report's own volumes and capacities give 18% and 29% . The base quoted to investors is roughly double the filed figure, making the destination unassessable.	Does not reconcile

Narrative drift. Exports changed from a choice to an excuse. In July 2025 the CEO framed the shrinking export share as strategy: "*we were selling about 70% of our sales into export and which we curtailed over the last 3 years and converted that into value-added sales.*" An analyst pushed back that peers had gone the other way, from 15–20% export share to 40%. By May 2026, and again in the Q1 FY27 presentation, the same decline is something done *to* the company: "*geopolitical uncertainties ... export volumes got impacted adversely.*" Both contain truth, but the emphasis moved from "our decision" to "the market's fault" precisely as exports fell 44% in one year.

"Value over volume" is asserted but not evidenced. Repeated on every call as a cardinal principle, yet realisations fell about 5% per tonne in FY26, operating margin fell from 8% (FY24) to 5.3%, and the bars-versus-pipes revenue split and per-tonne margins that would let anyone check are not disclosed. A mix genuinely shifting toward nuclear and aerospace grades should show up in price. It does not.

The utilisation numbers are the most serious item — not drift but a straight inconsistency between what is said on calls and what is filed. Investors are told the plant is half full; the annual report says under a fifth for steel and under a third for pipes. Whichever is right, the gap should not exist, and it undermines the one number the entire operating-leverage thesis rests on. The bright-bar uplift is likewise 30,000→75,000 tpa on the call and 24,000→100,000 tpa in the annual report.

To management's credit, disclosure is otherwise unusually frank: the tax-shield admission, the "not to my liking" remark on the order book, and the refusal to guide on margin they cannot stand behind are better than the norm. **But with only 7 of 15 transcripts obtained — the three FY25 calls covering the relapse into loss missing entirely — this scorecard rests on fewer calls than it should.** A fuller set would most likely make the FY25 record look worse, not better.

5 Bottom line

VERDICT 1 — EARNING TRIGGER: REAL, BUT SMALL, SLOW, AND ALREADY PAID FOR

The trigger is genuine and mechanically sound. A fully integrated specialty steel plant running at under a third of capacity, now carrying ₹120 Cr of net cash instead of ₹271 Cr of net debt, will convert extra tonnes into profit at a high rate; FY26 (revenue +22%, operating profit +52%) shows the mechanism working. The import-substitution angle is not marketing either — the BHEL supercritical boiler tube order, NTPC T91 approval and NPCIL steam-generator-tube development order are qualifications that take years to win and few Indian firms hold. But almost nothing else supports a re-rating from here. Margin is 5.3% and falling, not rising. Realisations declined. The order book is down 30% and was not disclosed at all last quarter. Q1 FY27 revenue **fell 6%**, making the 20–30% FY27 guidance already improbable. Pipes — the higher-value half — have added just 1,200 tonnes of annual volume in four years. And the profit being capitalised at roughly **141 times** pays no tax at all: strip out the shelter from ₹215 Cr of unabsorbed depreciation and FY26 profit is nearer ₹17 Cr. The runway is real; the aircraft is taxiing.

VERDICT 2 — MANAGEMENT: TRUSTWORTHY ON THE BALANCE SHEET, UNRELIABLE ON OPERATING NUMBERS

On capital and financing this team did exactly what it said: the rights issue raised, the debt cleared, the preference shares retired at a discount, the rating taken from CARE A- to CARE AA-, and FY26 guidance of 20–30% met in a market they could fairly have blamed. That deserves credit. On operations the record is weak. The FY24 "complete turnaround ... first year of consistent profitability" was contradicted by an FY25 loss within twelve months, and half the FY24 profit behind that claim was a deferred tax entry. The renewables target missed by 17 points; the bright-bar line is two quarters late and still not contributing. Most damagingly, **the utilisation figures quoted to investors are roughly double those implied by the company's own audited volumes and stated capacity**, and the bright-bar uplift is described two incompatible ways in two company documents. Nothing suggests bad faith — disclosure elsewhere is candid to a fault — but operating figures spoken on calls must be checked against the filings, and the one number this thesis rests on is a number that does not tie.